

TYPES OF INVENTORY

Inventory can include three types of stock, depending on the kind of business being carried out: raw materials, unfinished goods, and finished goods. *See pp.316–317.*

Raw materials

Materials and components scheduled for use in making a product. For example, a chocolate factory will have:

- **Ingredients** in the form of sugar, cocoa mass, cocoa butter, additives, flavorings, and perhaps milk or nuts.
- **Foil, plastic, and paper** for the wrappers and packaging

Work in progress

Materials and components that have begun their transformation into finished goods; these may be referred to as “unfinished goods.” For instance, a graphic designer will have:

- **Layouts and designs** that are being developed and are awaiting client approval

Finished goods

The stock of completed products, or goods ready for sale to customers. A bookstore, for example, will have:

- **Hardback and paperback books** of various genres and formats supplied by publishing houses
- **Gift items** such as greeting cards and notebooks

Types of fixed assets

Super Sports Inc. owns a range of tangible and intangible fixed assets. Compared to tangible fixed assets, the worth of intangible fixed assets can sometimes be harder to evaluate.



Tangible fixed assets



Retail outlets plus company headquarters



Store displays and back office furniture



Computers for administrative work



Trucks and branded company cars



Warehouse and distribution equipment

Intangible fixed assets



Brands and designs, creative innovation



Legally protected words and symbols



Own brands, including value and luxury ranges



Internet portal for online sales



Licensing revenue streams